

In the Supreme Court of Bangladesh
High Court Division
(Special original Jurisdiction)

Present:

Mr. Justice Md. Bazlur Rahman

And

Mr. Justice Syed Mohammed Tazrul Hossain

Writ Petition No. 3305 of 2023 with

Writ Petition No. 8383 of 2021

IN THE MATTER OF:

An application under Article 102 of the
Constitution of the People's Republic of
Bangladesh.

AND

IN THE MATTER OF:

Khadija Rahman

Wife of Rana R. Chowdhury

Mortgagor, UKN Apparels Limited,

Sadharan Bima Bhaban

24-25, Dilkusha (6th Floor)

Motijheel, Dhaka

..... Petitioner

(In civil custody)

-Versus-

Artha Rin Adalat, 1st Court, Dhaka

of Judge's Court Building, Dhaka and another

.....Respondents

Mr. A.S.M. Sayem Bhuiyan with

Mr. A.K.M. Shohel with

Mr. Md. Abu Bakar Siddik with

Mr. Md. Isteak Ahmed and

Mr. Md. Abdur Kalim Rony, Advocates

..... For the petitioner

Mr. Mohiuddin Md. Hanif, Advocate

.....For the respondent No. 2

Heard on: 28.10.2024, 02.12.2024

Judgment on: 09.12.2024

Syed Momammed Tazrul Hossain,J:

01. Rules in both the writ petitions arise out of the same case and between the same parties. Rules were heard together and disposed of by a common judgment as they pose similar facts and similar legal issues.

02. In writ petition No. 3305 of 2023, Rule was issued calling upon the respondents to show cause as to why the proceedings of Artha Execution Case No. 222 of 2021 now pending before the Artha Rin Adalat No. 1, Dhaka and order No. 10 dated 18.07.2022 and order No. 15 dated 20.02.2023 passed by the learned Judge, Artha Rin Adalat, 1st Court, Dhaka in Artha Rin Execution Case No. 222 of 2021 should not be declared to be without lawful authority and of no legal effect and/or pass such other or further order or orders as to this Court may seem fit and proper.

03. At the time of issuance of the Rule an interim order was passed staying operation of the impugned order for a period of 06 (six) months from date and the petitioner was released on bail for a period of 06 (six) months. Subsequently said order was extended from time to time and currently the order of stay is in operation.

04. In writ petition No. 8383 of 2021, Rule was issued calling upon the respondents to show cause as to why the order No. 09, dated 14.01.2020 allowing the application under section 33(5) of the Artha Rin Adalat Ain, 2003 and order No. 17, dated 31.08.2021 (Annexure-‘F’ to the writ petition) both passed by the Judge, Artha Rin Adalat No. 1, Dhaka in Artha Execution Case No. 587 of 2018 should not be declared to have been passed without lawful authority and is of no legal effect and why the notice for auction under section 33(5) of the Artha Rin Adalat Ain, 2003 published by the respondent No. 2 in “The Daily Prothom Alo” dated 28.09.2021 (Annexure-‘G’ to the supplementary-affidavit) should not be declared to have been published without any lawful authority and is of no legal effect and/or pass such other or further order or orders as to this court may seem fit and proper.

05. At the time of issuance of the Rule an interim order was passed staying the operation of the impugned certificate issued under section 33(5) of the Artha Rin Adalat Ain,

2003, passed by the judge, Artha Rin Adalat No.-1, Dhaka in Artha Execution Suit No. 587 of 2018 and auction notice published under section 33(5) of the Artha Rin Adalat, Ain, 2003 by the respondent No. 2 in “The Daily Prothom Alo”, on 28.09.2021 for a period of 03 (three) months from date. Said order of stay has expired and currently there is no order of stay in operation.

06. The short facts relevant for disposal of the Rules are that respondent No. 2 bank filed Artha Rin Suit No. 88 of 2017 before the Artha Rin Adalat, Court No. 1, Dhaka impleading M/S. U.K.N. Apparels Limited, its directors and third party mortgagor for recovery of its outstanding dues. Suit was decreed exparte and as the judgment debtors did not pay the decreetal amount, bank filed Artha Execution Suit No. 587 of 2018. Two schedule mentioned properties were mortgaged with the bank as collateral security, one of them were located within Dhaka district and the other was located within Narshingdi district and both were included in the Artha Rin Suit and the execution suit. Decree holder bank tried to auction sell the said properties under Section 33(1) and 33(4), but failed as there was no interested buyer. Decree holder bank then filed an application under Section 33(5) of the Artha Rin Adalat Ain, 2003 (Ain, 2003) and the executing court allowed the application, Judgment debtor No. 1 then filed an application for recalling the said order of

the executing court on the ground that schedule (Kha) mentioned property was located within Narshingdi district and hence executing court did not have jurisdiction over the said land to issue certificate under Section 33(5) of the Ain, 2003. Executing court rejected the said application and held that the execution suit has already been disposed of under Section 33(9) of the Ain, 2003.

07. Thereafter, the respondent No. 2 published auction notice for selling the schedule properties and the judgment debtor No. 1 filed writ petition No. 8383 of 2021 impugning the order of the executing court allowing the application of the decree holder filed under section 33(5) and the subsequent auction notice. A Division Bench of this court upon hearing the petitioner, vide order, dated 05.10.2021 issued a Rule and also stayed the operation of the impugned order and the auction of the schedule properties.

08. Thereafter, the respondent No. 2 filed a second Execution Case, being Artha Execution Suit No. 222 of 2021 for execution of the decree passed in Artha Rin Suit No. 88 of 2017. Respondent No. 2 thereafter filed an application under 34(1) of the Ain, 2003 in Artha Execution Suit No. 222 of 2021 for issuance of warrant of arrest against the judgment debtor; learned court below upon hearing the application allowed the same and accordingly warrant for civil imprisonment was issued. Judgment debtor No. 7, the third

party mortgagor got arrested from Narshingdi. When she was produced before the executing court, at Dhaka, she filed an application for dismissal of the Artha Execution Suit No. 222 of 2021 and on the same day she preferred another application to stay the order of arrest till the application for dismissal of the Artha Execution Suit No. 222 of 2021 was heard. The Executing court rejected the application for stay of the order of arrest and fixed a date for hearing the application for dismissal of the Artha Execution Suit No. 222 of 2021. Judgment debtor No. 7, being the petitioner then filed writ petition No. 3305 of 2023 challenging the initiation and continuation of the Artha Execution Suit No. 222 of 2021 and the order of civil imprisonment passed in the said execution suit. A Division Bench of this Court upon hearing the parties issued a Rule Nisi and also stayed order of warrant of arrest of the judgment debtors and the petitioner was released on bail.

09. Mr. Mohiuddin Md. Hanif, learned advocate appearing for the respondent No. 2 in both the writ petitions opposes the Rules by submitting an affidavit in opposition. Learned advocate controverted the averments and grounds of the writ petitions and contends that the petitioners have filed the instant writ petitions only to frustrate the lawful actions of the decree holder bank and to drag the execution process.

10. Mr. A.S.M. Sayed Bhuiyan, learned Advocate appears for the petitioner of both the cases. He submits the writ petitions, takes us through the annexures of both the writ petitions. With regard to writ petition No. 3305 of 2023, learned advocate submits that the respondent No. 2, bank has filed the first Execution Suit No. 587 of 2018 on 29.11.2018. Auction notices under section 33(1) and 33(4) of the Ain, 2003 was published on 04.04.2019 and on 14.08.2019 in that suit, but there was no bidder. Decree holder bank then moved an application for issuance of certificate under section 33(5), learned executing court, vide order No. 09, dated 14.01.2020 issued the certificate and disposed of the execution suit under section 33(9) of the Ain, 2003. Later on, respondent No. 2 filed a second execution case, being Artha Execution Suit No. 222 of 2021 on 12.10.2021 and the said execution suit being filed after expiry of more than one year after disposal of the first execution suit, is barred under the provision of section 28(3) of the Ain, 2003.

11. Learned advocate then submits that section 33(6ka) of the Ain, 2003 provides that where any property is vested in the decree-holder under section 33(5) of the Ain, and the decree-holder becomes unable to sell the said property in public auction at a just price, subject to the provision of section 28 of the Ain, 2003, decree-holder may institute an execution suit by deducting the prescribed price or reasonable estimate

price of the said property. But , in the instant case, the decree-holder failed to auction sell the property due to the order of stay granted by this Division in writ petition No. 8383 of 2021 hence proceedings of the Artha Execution Suit No. 222 of 2021 cannot be allowed to proceed.

12. Mr. Bhuiyan submits that initiation and continuation of the Artha Execution Suit No. 222 of 2021 in itself is a nullity, but upon an application, dated 13.03.2022 filed under section 34(1) of the Ain, 2003 by the decree holder bank, learned executing court below in complete disregard of the provisions of law, by its order, dated 18.07.2022 allowed the said application and issued warrant of arrest against all the defendants. He submits that as the second execution suit being filed in violation of the section 28(3) was a nullity the order, dated 18.07.2022 as well as the order, dated 20.02.2023 where under petitioner of writ petition No. 3305 of 2023 was sent to the civil imprisonment passed is also illegal and completely unsustainable.

13. With regard to writ petition No. 8383 of 2021, Mr. Bhuiyan submits that admittedly there are two schedule properties in Execution Suit No. 587 of 2018; schedule (ka) property is situated within Dhaka district as such it falls within the territorial jurisdiction of Artha Rin Adalat, Dhaka and schedule (Kha) property is situated at Narshingdi District and as such said property falls within the territorial

jurisdiction of District Judge, Narshingdi. Therefore, under the provision of section 27 of the Artha Rin Adalat Ain, 2003 learned Artha Rin Adalat, Court No. 1, Dhaka should have sent part of the execution process regarding (Kha) schedule land to the district judge of Narshingdi to complete the execution process, instead, learned court below issued certificate under section 33(5) regarding both (Ka) and (Kha) schedule land in favour of the decree-holder bank.

14. Learned advocate then submits that when the above described issue was specifically brought to the attention of the learned court below by the petitioner and submitted an application for recalling the order, dated 14.01.2020, learned court below by its order, dated 31.08.2021 rejected the said application on the ground that execution suit has already been disposed of under section 33(9) of the Ain, 2003. This finding of the court below is completely unsustainable, because before possession of a mortgaged property is handed over, the execution case remains alive and this legal principal has been upheld in series of decisions by our Apex court, hence said orders of the court below is unsustainable.

15. He further submits that following the order, dated 14.01.2020 passed by the learned execution court below, the decree-holder bank published auction notice in the daily prothom Alo, on 28.09.2021 to auction sell both the schedule properties. As one of the schedule properties is

situated at Narshingdi and the learned Artha Rin Adalat, Court No. 1, Dhaka could not pass any order to effectuate the execution process hence as the decree- holder bank could not receive any valid interest under section 33(5) of the Ain, 2003 as passed by the said court, publication of such auction notice was also illegal.

16. In support of his submission learned Advocate refers the judgment passed in **Gulshan Ara Begum Vs. Artha Rin Adalat** reported in **70 DLR (HCD) 230** wherein in a similar situation of the schedule property under the territorial jurisdiction of one district dealt with by an Artha Rin Adalat situated in a different district was found to be unsustainable.

17. Mr. Bhuiyan submits another decision in support of his submission reported in 67 DLR (HCD) 583.

18. Upon making the above submissions, learned advocate for the petitioner submits that Rules in both the writ petitions should be made absolute.

19. Mr. Mohiuddin Md. Hanif appearing for the respondent No. 2 places the affidavit in oppositions and he submits that admittedly the petitioners are still in possession of the schedule properties of the Artha Execution Suit No. 587 of 2018, hence even though the executing court gave certificate under section 33(5) of the Ain, 2003, in favour of the decree-holder bank, but till possession of the mortgaged properties

are delivered in favour of the bank or the auction purchaser, the execution suit does not dissolve.

20. He then submits that when the decree-holder receives a certificate under section 33(5) and it fails to auction sell the said property, it may under the provision of section 33(6ka) upon adjusting the value of the said property may prefer an execution suit against the judgment debtors for the remaining dues. In the instant case from the application of the Artha Execution Case No. 222 of 2021 it is clear that the value of the schedule properties have been adjusted and the said execution suit has been filed for the remaining dues of the bank.

21. He further submits that there has been no illegality in the filing of the Artha Execution Suit No. 222 of 2021. In writ petition No. 3305 of 2023, the petitioner argued that said suit was barred under the provision of section 28(3) of the Ain, 2003, but it is to be seen that as the possession of the schedule properties have not been handed over to the decree-holder bank and that writ petition No. 8383 of 2021 in relation to the schedule properties are still pending for hearing, hence Artha Execution Suit No. 587 of 2018 has not yet dissolved and as such the period of limitation for the purpose of section 28(3) has not yet even started to bar filing of the Artha Execution Suit No. 222 of 2021.

22. Learned advocate submits that since there is no illegality in filing and continuation of the proceedings of Artha Execution Suit No. 222 of 2021, hence there has been no illegality for the executing court below in passing the order, dated 18.07.2022 and allowing the application filed under section 34(1) of the Ain, 2003 against the judgment debtors and subsequently passing the order, dated 20.02.2023 and sending the arrested petitioner to civil imprisonment by rejecting the applications filed by her and therefore, rule should be discharged.

23. Regarding the writ petition No. 8383 of 2021, learned advocate for the respondent No. 2 submits that Artha Rin Adalat, Court No. 1, Dhaka being the trial court of Artha Rin Suit No. 88 of 2017 and in the process of executing the judgment and decree passed in the said suit, learned court was sufficiently empowered to pass an order under section 33(5) regarding both the schedule properties.

24. He then submits that under the provisions of section 27 of the Ain, 2003, there is no strict requirement of the law for sending the execution case to the District Judge of Narshingdi regarding the property that falls under the territorial jurisdiction of that court, hence learned Artha Rin Adalat, Court No. 1, Dhaka has not committed any wrong in passing the order, No. 09, dated 14.01.2020 and the order No. 17, dated 31.08.2021, he further submits that the

respondent No. 2 also did not commit any illegality in publishing auction notice, dated 28.09.2021 after getting certificate under section 33(5) regarding the scheduled properties, hence rule issued in the said writ petition should be discharged.

25.Mr. Hanif finally submits that even if it is accepted that the Artha Rin Adalat, Court No. 1, Dhaka did not have the jurisdiction as an execution court to deal with the property situated at Narshingdi, but without any doubt learned court below had jurisdiction to deal with the property situated at Dhaka and hence issuing the rule and passing the impugned order in relation to the said property was not proper and as such rule in the instant matter shall be discharged.

26.We have heard the learned advocates from both sides, perused the writ petitions, supplementary affidavits and affidavits in opposition considered the materials on record and the applicable laws.

27.On the issue of filing of second execution case, it has been laid down under the provisions of section 33(6) and 33(6ka) of the Ain, 2003, where the mortgaged property is sold out in auction but the sum recovered by sale is less than the decretal amount and where the property is vested in favour of the decree-holder bank under section 33(5), but the bank is unable to sell the property in public auction at a just price, the decree holder may subject to the provision of section 28

of the Ain, 2003 institute another execution suit by deducting the prescribed price or a reasonable estimate value of the same.

28. In the scenario of the case at hand, even though the executing court in Execution Suit No. 587 of 2018 has issued a certificate under section 33(5) regarding both the schedule properties vide order, dated 14.01.2020 in favour of the decree holder bank and observed that the execution suit has dissolved under the provision of section 33(9), but it is now an established proposition of law that in spite of the provision of section 33(9) of the Ain, 2003 an execution suit does not come to an end until the possession of the mortgaged property is handed over to the decree holder bank or the auction purchaser as the case may be. This view has been well established in a series of cases decided by our Apex court, including the decision reported in 15 MLR (AD) 20; 15 BLT (AD) 237; 6 ADC 975; 63 DLR (HCD) 282.

29. It is also found that since issuance of the certificate under section 33(5) of the Ain, 2003 with regard to both the schedule properties in favour of the decree holder bank in Artha Execution Suit No. 587 of 2018, writ petition No. 8383 of 2021 has been filed challenging issuance of the said certificate; rule has been issued and an order of stay has also been obtained by one of the judgment debtors. Rule in the said writ petition was still pending when the decree holder

bank filed the second execution suit being No. 222 of 2021 on 12.10.2021.

30. It has been argued in writ petition No. 3305 of 2023 that as the first execution suit No. 587 of 2018 has been dissolved on 14.01.2020 and the second execution suit being No. 222 of 2021 has been filed on 12.10.2021, hence, the second execution suit being filed after lapse of more than a period of one year was barred under the provision of section 28 (3) of the Ain, 2003. From our discussion made in preceding paragraphs, it is clear that till now the proceedings of the Artha Execution Suit No. 587 of 2028 has not come to an end as such calculation of limitation under the provision of section 28(3) has not yet started. Therefore, it is observed that filing of Artha Execution Suit No. 222 of 2021 is not barred under the provision of section 28(3) of the Artha Rin Adalat Ain, 2003.

31. Petitioner of writ petition No. 3305 of 2023 further argued that the decree holder bank become unable to auction sell the mortgaged properties due to filing of the writ petition No. 8383 of 2021, but from the application of the Artha Execution Suit No. 222 of 2021 it is clear that the said suit was instituted by adjusting the value of the schedule properties and thereby the respondent No. 2 complied with the provision of section 33(6) and 33(6k) of the Ain, 2003. We do not find any illegality in filing and continuation of the

Second Execution Case, being Artha Execution Suit No. 222 of 2021 in the instant matter.

32. Now, even though the learned advocates for either party directed any argument regarding the propriety of the order No. 10, dated 18.07.2022 and the order No. 15, dated 20.02.2023 in Artha Execution Suit No. 222 of 2021, however, propriety of the said orders needs to be looked into for proper disposal of the instant rule. It is found that the said Execution Suit was filed for realisation of an amount of tk. 13,21,28,053/-. There is no schedule property in the said execution suit hence in an effort to realize the outstanding decretal amount the decree holder bank filed an application under Section 34(1) of the Artha Rin Adalat Ain, 2003. Learned executing court below upon detail discussions has passed the order, dated 18.07.2022 for arrest and sending the judgment debtors to civil imprisonment for a period of 06 (six) months. Thereafter, upon arrest of the petitioner under the said order, she moved an application under Section 57 of the Ain, 2003 for staying the Execution Suit and moved another application for her release. Learned court below by its order, dated 20.02.2023 rejected the application for release of the petitioner and fixed a later date for hearing the application filed under section 57 of the Ain, 2003. We do not find any illegality in the said orders passed by the executing court below.

33.Regarding the issue of jurisdiction of the executing court in Artha Execution Suit No. 587 of 2018, in relation to the schedule (kha) mentioned property, it is seen that the learned court below vide, its order, dated 14.01.2020 issued a certificate under section 33(5) regarding both the properties in favor of the decree holder bank. In this regard it is clear that section 27 of the Artha Rin Adalat Ain, 2003 deals with the process of execution of Artha Rin suit. Said section 27 reads as follows:-

“২৭। জারীর আদালত ।

(১) অর্থ ঋণ আদালত কর্তৃক প্রদত্ত কোন আদেশ বা ডিক্রী উক্ত আদালত কর্তৃক, অথবা উক্ত আদালত জারীর জন্য অন্য যে আদালতে প্রেরণ করে, সেই আদালত কর্তৃক জারী হইবে।

(২) এই আইনের অধীনে দুই বা ততোধিক জেলার জন্য একটি মাত্র অর্থ ঋণ আদালত প্রতিষ্ঠিত হইয়া থাকিলে এবং উক্ত অর্থ ঋণ আদালত কর্তৃক প্রদত্ত রায় বা আদেশ হইতে উদ্ভূত জারী মামলার কার্যক্রম এমন কোন জেলায় প্রয়োগ করা আবশ্যিক হয়, যাহা অর্থ ঋণ আদালত যে জেলায় অবস্থিত উক্ত জেলা হইতে ভিন্ন, তাহা হইলে আদালত, যে জেলায় অর্থ ঋণ আদালত অবস্থিত, সেই জেলার জেলা জজের মাধ্যমে, জারী মামলাটি কার্যকর করিবার জন্য উপরিউল্লিখিত ভিন্ন জেলার জেলা জজের নিকট প্রেরণ করিবে।”

34.Thus under the provision of Section 27(2) of the Ain, if the judgment and order passed by an Artha Rin Adalat regarding a property that falls under a different district and is required to be executed, then the court shall forward the execution suit through the district judge of the district where the Artha Rin Adalat is situated to the district judge of the said different district to give effect to the execution. In Artha Execution Suit No. 587 of 2018 there were two properties

situated under two different districts, namely Dhaka and Narshingdi. As it is clearly detailed out in the section 27 of the Ain, 2003 it has also been held in the cases of **Agrani Bank Limited Vs. the Judge, Artha Rin Adalat, 1st Court, Dhaka and another**, reported in **18 ALR (HCD) 285**; **Gulshan Ara Begum Vs. Judge Artha Rin Adalat No. 1, Dhaka and another**, reported in **70 DLR (HCD) 230**; **Metalex Corporation Limited Vs. Judge, Artha Rin Adalat No. 2, Dhaka and others**, reported in **25 BLC (HCD) 526**, that the auction process in a execution proceeding under the Artha Rin Adalat has to be conducted within the jurisdiction of the property concerned. Thus, in the instant case it may be observed that even though the execution proceeding has been lawful filed before the learned Artha Rin Adalat, Court No. 1, Dhaka for execution of a judgment and decree passed by the said court, but, since one of the mortgaged properties are situation in Narsingdi district, the execution case in relation to the said property ought to have been sent to the district judge, Narsingdi for due execution.

35.In the light of the discussions and observations made above we find some merit regarding part of the rule issued in writ petition No. 8383 of 2021.

36.In view of the above, Rule of writ petition No. 3305 of 2023 is discharged and the petitioner of the said writ petition is

directed to surrender before the learned Artha Rin Adalat, Court No. 1, Dhaka, within a period of 30 days of receipt of the judgment.

The order of stay granted earlier stands recalled and vacated. Rule in writ petition No. 8383 of 2021 so far it relates to issuance of certificate under section 33(5) of the Artha Rin Adalat, 2003 by the Artha Rin Adalat, Court No. 1, Dhaka in relation to (kha) schedule property situated in Narsingdi in Artha Execution Suit No. 587 of 2018 is declared to have been issued without any lawful authority and therefore is of no legal effect. Learned court below is directed to forward the execution of the said suit in relation to the (kha) schedule property to the District Judge, Narsingdi for due execution.

With the above observations Rule issued in Writ Petition No. 8383 of 2021 is disposed of.

There is no order as to costs.

Communicate the judgment to the concerned court at once.

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Syed Mohammed Tazrul Hossain,J)

I agree

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(Md. Bazlur Rahman,J)